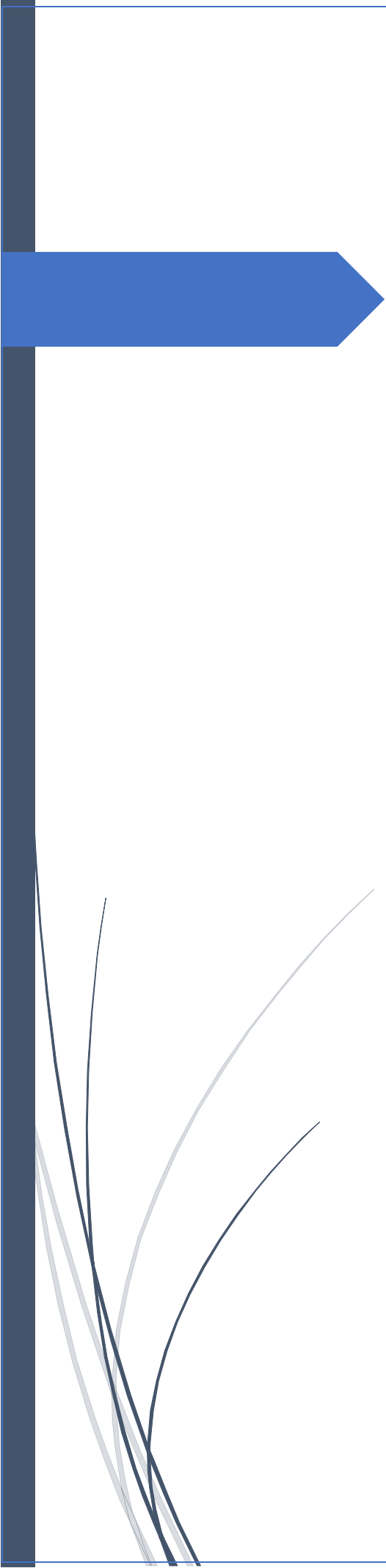




Fixed Asset Depreciation

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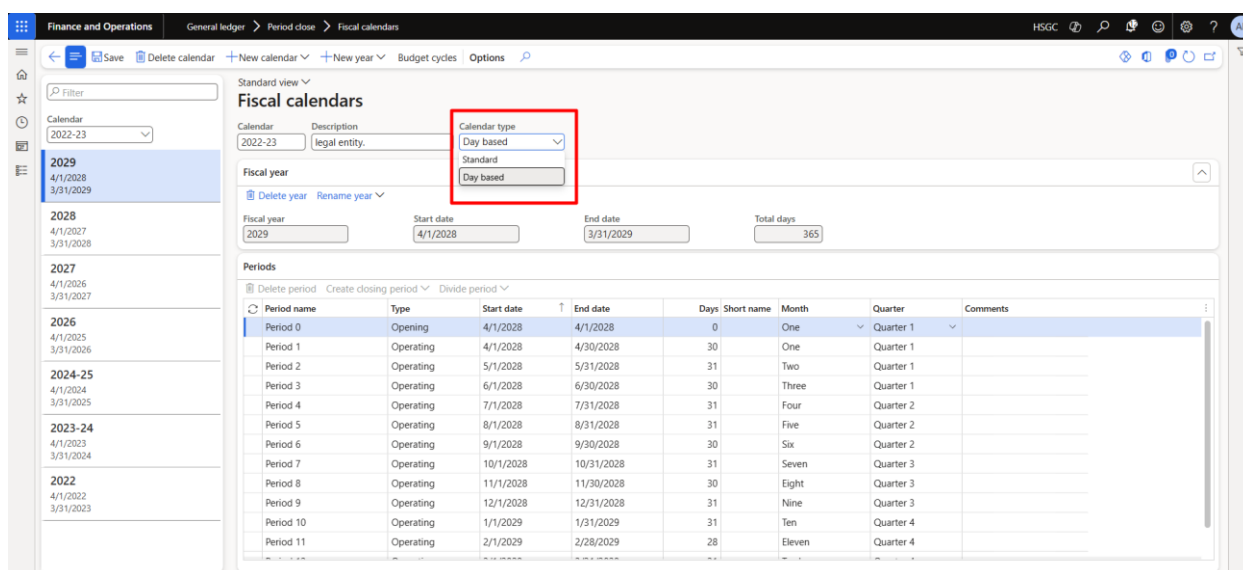
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Understanding Fiscal Calendars in D365 F&O

What Is a Fiscal Calendar?

A **fiscal calendar** is a 12-month period that organizations use for accounting, budgeting, and financial management—distinct from the calendar year (Jan–Dec). Businesses choose fiscal calendars to better align financial reporting with business cycles, such as retail seasons or academic years. In D365 Finance & Operations (F&O), the fiscal calendar is fundamental for ledgers, fixed assets, and budget cycles, directly impacting depreciation calculations and period management.

Standard vs. Day-Based Fiscal Calendars



Calendar Type	Description	Example Use
Standard Fiscal Calendar	Follows traditional month-based accounting periods, typically aligned to the calendar year or set 12-month periods. Each period represents one full month.	Most organizations—simple period management
Day-Based Fiscal Calendar	Defines accounting periods by specific day ranges, providing accurate, day-level depreciation and calculations. Each period may not align exactly with calendar months.	Required for precise pro-rata depreciation.

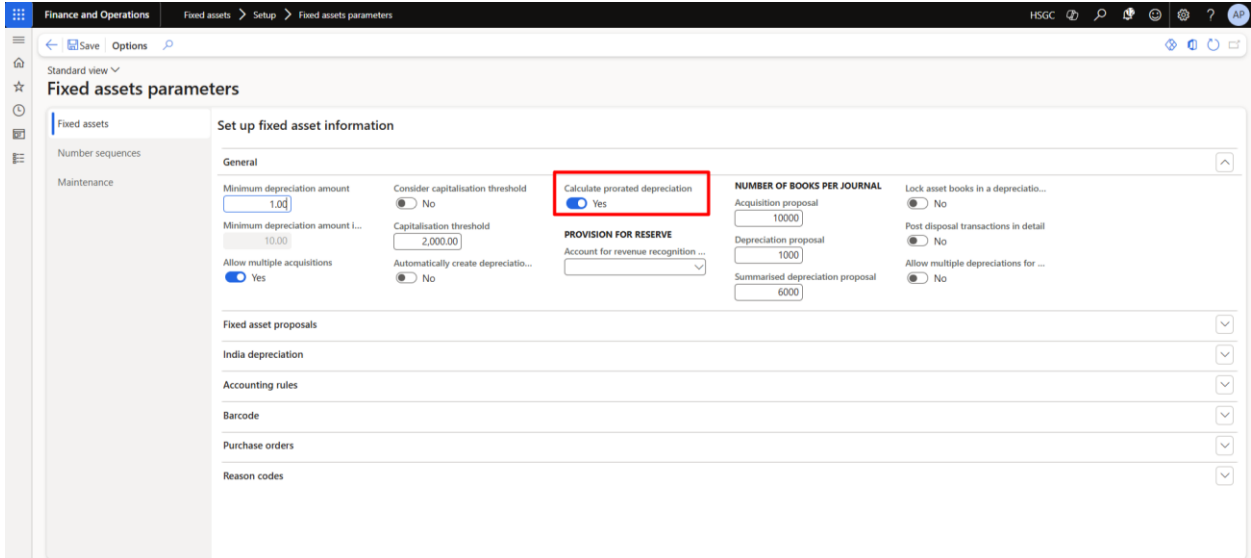
Standard Fiscal Calendar: Each accounting period is a full month, but the fiscal year can start and end in any month. Most depreciation and financial processes expect equal-length periods by month.

Day-Based Fiscal Calendar: Periods are set up by exact date ranges, allowing for precise pro-rata and day-level calculations. Essential for compliance in some regions (e.g., India's Companies Act depreciation

Depreciation Calculation Scenarios in D365 F&O

1. Standard Fiscal Calendar with Prorated Depreciation = Yes

Path: - Fixed Assets > Setup > Fixed Asset Parameters > Fixed Assets > General > Calculate prorated depreciation > Yes



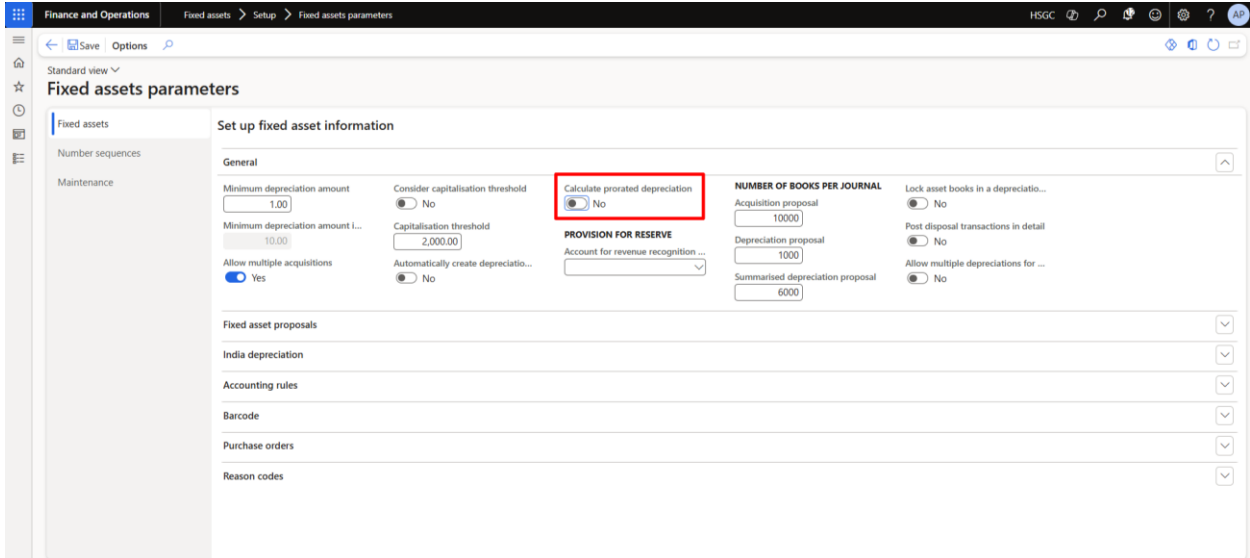
The screenshot shows the 'Fixed assets parameters' setup page in Dynamics 365 Finance and Operations. The 'General' tab is selected. The 'Calculate prorated depreciation' toggle is set to 'Yes' and is highlighted with a red box. Other settings include 'Minimum depreciation amount' (1.00), 'Consider capitalisation threshold' (No), 'Capitalisation threshold' (2,000.00), 'Allow multiple acquisitions' (Yes), 'Provision for reserve' (Account for revenue recognition), 'Number of books per journal' (Acquisition proposal: 10000, Depreciation proposal: 1000, Summarised depreciation proposal: 6000), 'Lock asset books in a depreciation...' (No), 'Post disposal transactions in detail' (No), and 'Allow multiple depreciations for ...' (No).

- Prorated Calculation: First month's depreciation = (No. of days active in month) ÷ (No. of days in year) × Annual depreciation.
- Remainder of the year: System distributes remaining depreciation equally over the other periods but may not match a straightforward monthly or daily split.

Period	Calculation	Example (FA Value 12,000, Rate 45.07)	Calculated Depreciation
12–31 Aug	$(20/365) \times 5,408.4$	$(20/365) \times 5,408.4 = 296.35$	296.35
Sep–Mar	Equal monthly depreciation, not based on days	448.76 per month	448.76
Full PA	$12,000 \times 45.07\% = 5,408.4$ (annual)		

2. Standard Fiscal Calendar with Prorated Depreciation = No

Path: - Fixed Assets > Setup > Fixed Asset Parameters > Fixed Assets > General > Calculate prorated depreciation > No



The screenshot shows the 'Fixed assets parameters' setup page in Dynamics 365. The 'General' tab is selected. The 'Calculate prorated depreciation' option is highlighted with a red box and is set to 'No'. Other visible options include 'Consider capitalisation threshold' (No), 'Capitalisation threshold' (2,000.00), 'Allow multiple acquisitions' (Yes), 'Minimum depreciation amount' (1.00), 'Minimum depreciation amount L...' (10.00), 'Provision for reserve' (Account for revenue recognition...), 'Number of books per journal' (Acquisition proposal: 10000, Depreciation proposal: 1000, Summarised depreciation proposal: 6000), 'Lock asset books in a depreciatio...' (No), 'Post disposal transactions in detail' (No), and 'Allow multiple depreciations for ...' (No).

- First Month: $(\text{No. of days active in month}) \div (\text{No. of days in month}) \times \text{Monthly depreciation}$.
- Other Months: Equal per-month depreciation based on annual rate.

Period	Calculation	Example (FA Value 12,000, Rate 77.64)	Calculated Depreciation
12–31 Aug	$(9,316.6 \div 12) (20/31) \times$	$776.4 (20/31) \times = 500.90$	500.9
Sep–Mar	$9,316.6 \div 12 = \text{per month}$	776.4	776.4
Full PA	$12,000 \times 77.64\% = 9,316.6 \text{ (annual)}$		

3. Day-Based Fiscal Calendar (Prorated Depreciation = Yes or No)

- All Periods: Depreciation is strictly proportional to the number of days the asset is held in each period, using 365 days per year as the basis for calculation

Period	Days in Period	Calculation (FA Value 12,000, Rate 15%)	Calculated Depreciation
Sep	30	$(1,800 \times 30/365)$	147.95
Oct	31	$(1,800 \times 31/365)$	152.88
Nov	30	$(1,800 \times 30/365)$	147.95
Dec	31	$(1,800 \times 31/365)$	152.88
Jan	31	$(1,800 \times 31/365)$	152.88
Feb	28	$(1,800 \times 28/365)$	138.08
Mar	31	$(1,800 \times 31/365)$	152.88

Summary Table

Scenario	First Month Depreciation	Subsequent Months	Basis	Proration Option
Standard + Prorated (Yes)	Days in month $\div$ days in year $\times$ annual amount	Equally split, but may not reconcile exactly	Month-based periods, year proration	Yes
Standard + Prorated (No)	Days in month $\div$ days in month $\times$ monthly amt	Equal monthly amounts	Month-based periods, month proration	No
Day-Based (Prorated Yes or No)	Days in period $\div$ 365 $\times$ annual amount	Repeat per period, each by exact days held	Day-based periods	N/A

Best Practice Recommendation

Based on your scenarios, Day-Based Fiscal Calendar (regardless of proration parameter) is recommended for:

- Consistent and logical depreciation calculations.
- Precise compliance with pro-rata and day-level asset depreciation standards.